

# Mike Wilson: 2026 Market Outlook

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### Speaker Bio

**Mike Wilson** is Chief US Equity Strategist and CIO at Morgan Stanley. 30+ year veteran covering equities, known for calling the 2022 bear market and subsequent broadening thesis. Institutional consensus setter on S&P targets and sector allocation.

### Executive Summary

Wilson's framework inverts conventional Fed priorities: **funding the deficit first, jobs second, inflation third**. The Fed ended QT early and started \$40B/month asset purchases in December—a surprise nobody had called. But crypto's muted response signals just enough liquidity, not excess. New Fed chair (post-May) creates volatility regardless of who's nominated—markets test every new chair at their first presser. Bond vigilante risk lies in **30-year yields, not 10s**—Treasury's bill-heavy issuance starves duration demand, compressing 10Y by 70-80bps. Dollar weakness is the early warning for emerging-market-style funding stress.

**Employment bottomed April 2025**—Wilson's out-of-consensus call now validated. No hiring, no firing = margins explode. Productivity at 4% (6-year high) reflects GDP calculation quirks + immigration suppression + AI threat, not yet AI reality. He's modeling 40bps AI productivity contribution—but the **threat of AI is changing corporate behavior** before tools are deployed. White-collar firms won't rush to hire even as revenue picks up. The rolling recession in goods/industrials is over; services-to-goods spending shift benefits S&P (more goods-sensitive).

**Broadening thesis activated November 2025:** cyclical, higher operating leverage, lower quality stocks outperform for cyclical reasons, not secular. Equal-weight ETFs beat cap-weight across sectors. Healthcare (biotech M&A), consumer goods (gasoline down 16% YoY, tax benefits), energy services (Venezuela capex), and mid-cap industrials all set up. European outperformance since Liberation Day is exhausted—US resumes leadership in local and dollar terms.

**S&P 7,800 target** (vs 6,900 current). Bull case 8,600-9,000 if 20%+ earnings growth priced as perpetual—that's 99-style meltup risk. Breath/index divergence shows 10-12% gap; either breath improves or 5-10% correction resolves it. Watch dollar-yen below 150 for 5% drawdown risk. Investment grade issuance \$250B in January (2x 10-year average)—capital markets wide open except for equity IPOs where sellers reject current prices.

### Listen or Skip?

**Verdict:** Must-listen—institutional consensus setter with actionable sector calls

| Aspect             | Rating |
|--------------------|--------|
| Signal density     | ★★★★★  |
| Actionability      | ★★★★★  |
| Novel insights     | ★★★★☆  |
| Production quality | ★★★★☆  |

**Best for:** Equity PMs, sector rotators, multi-asset allocators **Skip if:** Rates/FX only mandate, no US equity exposure

## Key Quotes

1. *"I think it's the other way around. I think it's funding the deficit, helping the Treasury fund the deficit. That's job one and has been the job one for quite a while. Then it's probably jobs and then probably inflation at the bottom."*
2. *"The Fed to my surprise got ahead of it for the first time where they ended QT early and then in December surprised the world with starting asset purchases again in a pretty meaningful way. I don't know anybody who had that call."*
3. *"Crypto hasn't really rebounded. So what that tells me is the Fed's doing just enough, right? They're not doing excess money printing. It's going to be more about being in the right places."*
4. *"We believe the employment market bottomed in April. We've written extensively about this. It's an out of consensus view that the rate of change on both layoffs and revisions to the payroll numbers troughed in April."*
5. *"No hiring, no firing. And that also means margins explode. The average company is seeing the best earnings growth since 2021."*
6. *"The threat of AI is impacting behavior of corporations. White collar businesses are saying, you know what, this AI thing may be a problem. Let's not rush to hire a bunch of people."*
7. *"Look at the 30-year spot. That to me is the signal that the market may not be as comfortable as you think. The early warning sign will be the dollar starts to really tank."*
8. *"There's about a 10 to 12% gap between S&P relative to its 200-day and the number of stocks above their 200-day. Either the breath has to start improving or we're going to get a 5-10% correction."*

## 1) Executive Dashboard (PM Read)

| Metric            | Assessment                                                                                                        |
|-------------------|-------------------------------------------------------------------------------------------------------------------|
| Net Signal        | Bullish US Equities with Broadening Rotation                                                                      |
| Conviction        | High (sector rotation) / Medium (index level)                                                                     |
| Time Horizon      | Cyclical (6-12m) broadening; Tactical (1-3m) breath resolution                                                    |
| Primary Domain(s) | Equities Rates FX                                                                                                 |
| Why Now?          | April employment trough validated; Fed QE restart; breath divergence requires resolution; services-to-goods shift |

### Top 3 Investable Ideas:

1. **Long equal-weight over cap-weight in every sector** — Broadening thesis activated; cyclical operating leverage favors lower-quality names
2. **Long consumer goods, healthcare (biotech), energy services** — Services-to-goods shift; M&A wave; Venezuela capex; gasoline -16% YoY tailwind
3. **Monitor 30Y yields + dollar for stress signals** — 30Y less well behaved than 10Y; dollar weakness = emerging market funding concern

## 2) Key Investable Insights

### Insight 1: Broadening Thesis—Equal Weight Beats Cap Weight

- **Claim:** Cyclical, higher operating leverage, lower quality stocks outperform as rolling recession ends and earnings growth broadens
- **Asset Class:** US Equities

- **Mechanism:** April employment trough = new cycle beginning; revenue accelerating without hiring = margin expansion in mid-tier names; cap-weighted indices concentrated in MAG7 which has stalled
- **Expression:** Long RSP (equal weight S&P) vs SPY; sector equal-weight ETFs across industrials, consumer, healthcare
- **Trigger to Exit/Flip:** Breath divergence not resolved; S&P breaks 200-day
- **Confidence:** High

### Insight 2: Services-to-Goods Spending Shift

- **Claim:** Consumer spending rotating from services (hotels, restaurants) to goods—benefits S&P 500 which is goods-sensitive
- **Asset Class:** US Equities (Consumer)
- **Mechanism:** White-collar job insecurity (AI threat) + immigration-driven service wage inflation; gasoline -16% YoY = purchasing power; consumer goods upgraded first time in 4 years
- **Expression:** Long consumer goods (XLP constituents); avoid hotels, restaurants, experiential services; home improvement over homebuilders
- **Trigger to Exit/Flip:** Service sector employment stabilizes; gasoline prices spike
- **Confidence:** Medium-High

### Insight 3: 30-Year Yields as Bond Market Stress Signal

- **Claim:** 30Y spot is the true measure of term premium concern—10Y artificially compressed 70-80bps by Treasury's bill-heavy issuance
- **Asset Class:** US Rates
- **Mechanism:** Treasury starving market of duration = natural buyers bid 10Y; 30Y less liquid, less demand, more volatile; dollar weakness = emerging market funding pattern
- **Expression:** Watch 30Y yield for widening; hedge via TLT puts if 30Y breaks higher; monitor DXY for weakness confirmation
- **Trigger to Exit/Flip:** Treasury extends duration; recession risk rises (then bonds rally)
- **Confidence:** Medium

### Insight 4: Dollar-Yen Below 150 = 5% Drawdown Risk

- **Claim:** Yen at 157 solves problems; move to low 150s triggers carry unwind and 5% equity correction
  - **Asset Class:** FX, Equities
  - **Mechanism:** Japanese money repatriating from treasuries to JGBs; BOJ raising rates more aggressively; carry trade unwind risk persists despite repeated false alarms
  - **Expression:** Watch USD/JPY; hedge via yen longs or SPY puts if approaching 150
  - **Trigger to Exit/Flip:** USD/JPY stabilizes above 155
  - **Confidence:** Medium
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### 3) Transmission & Cross-Asset Map

| Primary Driver              | Direct Impact (1st Order)       | Spillover (2nd Order)                    | Correlation Risk                  | Funding/Carry Impact       | Positioning/ Flows                   |
|-----------------------------|---------------------------------|------------------------------------------|-----------------------------------|----------------------------|--------------------------------------|
| Fed \$40B/month purchases   | Liquidity floor for risk assets | Speculative assets lagging = just enough | Risk assets-liquidity correlation | Funding markets stabilized | Rotation within, not out of equities |
| April employment trough     | Margins expand (no hiring)      | Broadening earnings growth               | Employment-earnings positive      | N/A                        | Mid-cap industrials, consumer goods  |
| Treasury bill issuance bias | 10Y compressed 70-80bps         | 30Y volatility rises                     | Duration scarcity                 | Term premium suppressed    | Watch 30Y for stress                 |
| Services-to-goods shift     | Consumer goods outperform       | Hotels, restaurants underperform         | Sector rotation                   | N/A                        | S&P goods-sensitive beneficiary      |
| Dollar-yen break            | Carry unwind                    | 5% equity correction                     | FX-equity correlation             | Yen funding costs rise     | Japanese repatriation                |

### 4) Regime & Scenario Analysis

- **Current Regime Fit:** Early-cycle broadening within secular bull. Rolling recession over, new cycle beginning. Fed accommodative, inflation tolerated. Quality/momentum rotation to cyclical/value.
- **Base Case (60%):** S&P 7,800 by year-end. Broadening continues. Breath improves or 5-10% correction first. Consumer goods, healthcare, energy services outperform. MAG7 consolidates but doesn't crash. Fed remains dormant on rate hikes.
- **Alt Case 1 (25%):** Meltup to 8,600-9,000. Market prices 20% perpetual earnings growth. 99-style euphoria. Bubble extends before correction.
- **Alt Case 2 (15%):** Breath divergence resolves with 10%+ correction. Dollar-yen breaks 150. 30Y yields spike on duration supply. New Fed chair tested aggressively.
- **Anti-Thesis Trigger:** Employment reaccelerates (hiring resumes); inflation forces Fed to hike; dollar collapses; recession risk materializes.
- **Tail Risks:** Bond market strikes on deficit. Japan carry unwind. AI productivity disappoints 12+ months. IG credit market freezes.

### 5) Hard Data & Verifiable Claims

- **Data:** Fed started \$40B/month asset purchases mid-December 2025
- **Data:** S&P trading at 22.5x = 35bp equity risk premium
- **Data:** Real 10Y Treasury yield ~1.7%
- **Data:** S&P to gold ratio down 70% from 1999-2000 high
- **Data:** Gasoline prices down 16% YoY (national average)
- **Data:** Productivity print 4% (6-year high, expectations 3%)
- **Data:** S&P breath divergence 10-12% gap (S&P vs % stocks above 200-day)
- **Data:** IG issuance projected \$250B in January (2x 10-year average)
- **Data:** S&P target 7,800 (base), 8,600 (bull case)
- **Claim:** Employment market bottomed April 2025 (out of consensus)
- **Claim:** Treasury bill issuance compressing 10Y by 70-80bps
- **Claim:** Modeling 40bps AI productivity contribution
- **Claim:** Dollar-yen below 150 = 5% equity correction risk
- **Claim:** European outperformance happened pre-Liberation Day; US resumes

## 6) BS & Bias Filter

- **Incentives:** Morgan Stanley institutional strategist—reputation tied to S&P calls. Has 7,800 target to defend. Broadening thesis now consensus test.
  - **Blind Spots:** Limited international view (dismissive of Europe, uncertain on Japan). No crypto thesis. IPO market delay unexplained beyond pricing.
  - **Track Record:** Called 2022 bear market. Admitted staying bearish too long into 2023. April employment call validated. Broadening call from November being tested.
  - **Consensus Check:** Broadening = becoming consensus. Fed priority order = contrarian. 30Y as signal = novel framing. S&P 7,800 = slightly above street.
  - **Sample Bias:** Large-cap US equities focus. Institutional investor lens. Limited small-cap/micro-cap discussion.
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## 7) PM Bottom Line

### Action → Trade + Monitor

Rotate to equal-weight across sectors—broadening thesis validated by April employment trough and margin expansion. Long consumer goods (XLP), healthcare/biotech (M&A), energy services (SLB, HAL), mid-cap industrials. Avoid hotels/restaurants (services weakness). Home improvement over homebuilders. MAG7 consolidation is healthy; don't chase but don't abandon. Monitor breath divergence—needs resolution via improvement or 5-10% correction. Watch 30Y yields and dollar for stress signals; dollar-yen below 150 triggers defensive hedges.

**Key watches:** Breath vs index divergence resolution. 30Y yield behavior. Dollar-yen approaching 150. New Fed chair nomination and first presser. Consumer goods earnings (services-to-goods confirmation). IG issuance pace (\$250B January = wide open).